832 Government Assistance

832 Government Assistance

10 Overall

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General Note on Government Assistance: Upon the effective date of Accounting Standards Update No. 2025-10, the title of this Topic will change to Government Grants.

General

832-10-00-1 The following table identifies the changes made to this Subtopic.
Note: Topic title changed by Accounting Standards Update No. 2025-10 on 12/04/2025 from Government Assistance to Government Grants.

Paragraph	Action	Accounting Standards Update	Date
Exchange	Added	Accounting Standards Update No. 2025-10	12/04/2025
Fair Value (2nd def.)	Added	Accounting Standards Update No. 2025-10	12/04/2025
Forgivable Loan	Added	Accounting Standards Update No. 2025-10	12/04/2025
Government Grant	Added	Accounting Standards Update No. 2025-10	12/04/2025
Grant Related to an Asset	Added	Accounting Standards Update No. 2025-10	12/04/2025
Grant Related to Income	Added	Accounting Standards Update No. 2025-10	12/04/2025
Market Participants	Added	Accounting Standards Update No. 2025-10	12/04/2025
Monetary Assets	Added	Accounting Standards Update No. 2025-10	12/04/2025
Not-for-Profit Entity	Added	Accounting Standards Update No. 2021-10	11/17/2021

Orderly Transaction	Added	Accounting Standards Update No. 2025-10	12/04/2025
Probable	Added	Accounting Standards Update No. 2025-10	12/04/2025
Public Business Entity	Added	Accounting Standards Update No. 2025-10	12/04/2025
Related Parties	Added	Accounting Standards Update No. 2025-10	12/04/2025
Security (2nd def.)	Added	Accounting Standards Update No. 2025-10	12/04/2025
832-10-05-1	Superseded	Accounting Standards Update No. 2025-10	12/04/2025
832-10-05-1	Added	Accounting Standards Update No. 2021-10	11/17/2021
832-10-05-2	Amended	Accounting Standards Update No. 2025-10	12/04/2025
832-10-05-2	Added	Accounting Standards Update No. 2021-10	11/17/2021
832-10-15-1 through 15-5	Added	Accounting Standards Update No. 2021-10	11/17/2021
832-10-15-3	Superseded	Accounting Standards Update No. 2025-10	12/04/2025
832-10-15-3A	Added	Accounting Standards Update No. 2025-10	12/04/2025
832-10-15-4	Superseded	Accounting Standards Update No. 2025-10	12/04/2025
832-10-15-4A	Added	Accounting Standards Update No. 2025-10	12/04/2025
832-10-15-5	Amended	Accounting Standards Update No. 2025-10	12/04/2025
832-10-25-1 through 25-10	Added	Accounting Standards Update No. 2025-10	12/04/2025
832-10-30-1	Added	Accounting Standards Update No. 2025-10	12/04/2025
832-10-35-1	Added	Accounting Standards Update No. 2025-10	12/04/2025
832-10-35-2	Added	Accounting Standards Update No. 2025-10	12/04/2025
832-10-45-1 through 45-3	Added	Accounting Standards Update No. 2025-10	12/04/2025
832-10-50-1 through 50-5	Added	Accounting Standards Update No. 2021-10	11/17/2021
832-10-50-2 through 50-4	Amended	Accounting Standards Update No. 2025-10	12/04/2025
832-10-50-3A through 50-3C	Added	Accounting Standards Update No. 2025-10	12/04/2025
832-10-55-1 through 55-14	Added	Accounting Standards Update No. 2025-10	12/04/2025
832-10-65-1	Added	Accounting Standards Update No. 2021-10	11/17/2021
832-10-65-2832-10-65-2	Added	Accounting Standards Update No. 2025-10	12/04/2025

05 Overview and Background

ⓘ **General Note:**The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

ⓘ **General Note on Government Assistance**: Upon the effective date of Accounting Standards Update No. 2025-10, the title of this Topic will change to Government Grants.

General

832-10-05-1 Governments provide different forms of assistance to entities, and the forms of assistance have varying structures, complexities, and terms. Government assistance can include tax credits, cash grants, grants of other assets, and project grants. Often, government assistance is provided to an entity for a particular purpose, and the entity promises to take specific actions. Generally accepted accounting principles (GAAP) do not provide comprehensive recognition and measurement guidance for many forms of government assistance received by business entities.

PENDING CONTENT

Transition Date: P December 16, 2028; N December 16, 2029 | **Transition Guidance:** 832-10-65-2

Paragraph superseded by Accounting Standards Update No. 2025-10.

832-10-05-2 This Topic provides guidance on disclosures for transactions with a government that are accounted for by applying a grant or contribution accounting model by analogy.

PENDING CONTENT

Transition Date: P December 16, 2028; N December 16, 2029 | **Transition Guidance:** 832-10-65-2

This Topic provides guidance on the accounting for government grants received by business entities.

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General Note on Government Assistance: Upon the effective date of Accounting Standards Update No. 2025-10, the title of this Topic will change to Government Grants.

General

> Overall Guidance

832-10-15-1 The Scope Section of the Overall Subtopic establishes the scope for this Topic.

> Entities

832-10-15-2 The guidance in this Topic applies to all entities except not-for-profit entities and employee benefit plans within the scope of Topics 960, 962, and 965 on plan accounting.

> Transactions

832-10-15-3 If an entity determines that the accounting for a transaction with a government is not specified within the scope of authoritative generally accepted accounting principles (GAAP), paragraph 105-10-05-2 requires that the entity first consider accounting principles for similar transactions or events within an authoritative source of GAAP for that entity and then consider nonauthoritative guidance from other sources.

PENDING CONTENT

Transition Date: P December 16, 2028; N December 16, 2029 | **Transition Guidance:** 832-10-65-2

Paragraph superseded by Accounting Standards Update No. 2025-10.

832-10-15-3A

PENDING CONTENT

Transition Date: P December 16, 2028; N December 16, 2029 | **Transition Guidance:** 832-10-65-2

The guidance in this Topic applies to all government grants received by entities within the scope of this Topic.

832-10-15-4

The guidance in this Topic applies to entities that have accounted for transactions with a government by analogizing to a grant or contribution accounting model (for example, a grant model within IFRS Standards or a contribution model within Subtopic 958-605 on not-for-profit entities—revenue recognition).

PENDING CONTENT

Transition Date: P December 16, 2028; N December 16, 2029 | **Transition Guidance:** 832-10-65-2

Paragraph superseded by Accounting Standards Update No. 2025-10.

832-10-15-4A

PENDING CONTENT

Transition Date: P December 16, 2028; N December 16, 2029 | **Transition Guidance:** 832-10-65-2

The guidance in this Topic does not apply to the following:

a. Transactions within the scope of Topic 740 on income taxes (for example, nonrefundable, nontransferable income tax credits)

b. The benefit of below-market interest rate loans

c. Government guarantees.

832-10-15-5

Transactions with a government, as used in this Topic, include assistance that is administered by domestic, foreign, local (for example, city, town, county, and municipal), regional (for example, state, provincial, and territorial), and national (federal) governments and entities related to those governments. Examples of entities related to governments include departments, independent agencies, boards, commissions, and component units. Government assistance also can be administered by intergovernmental organizations and other types of organizations such as nongovernmental organizations or government-sponsored enterprises that have authority from a government to administer assistance on its behalf.

PENDING CONTENT

Transition Date: P December 16, 2028; N December 16, 2029 | **Transition Guidance:** 832-10-65-2

A government grant, as used in this Topic, includes grants that are administered by domestic, foreign, local (for example, city, town, county, and municipal), regional (for example, state, provincial, and territorial), and national (federal) governments and entities related to those governments. Examples of entities related to governments include departments, independent agencies, boards, commissions, and component units. A government grant also can be administered by intergovernmental organizations and other types of organizations such as nongovernmental organizations or government-sponsored enterprises that have authority from a government to administer grants on its behalf.

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

General Note on Government Assistance: Upon the effective date of Accounting Standards Update No. 2025-10, the title of this Topic will change to Government Grants.

Exchange

An exchange (or exchange transaction) is a reciprocal transfer between two entities that results in one of the entities acquiring assets or services or satisfying liabilities by surrendering other assets or services or incurring other obligations.

Fair Value

The price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

Forgivable Loan

PENDING CONTENT

Transition Date: P December 16, 2028; N December 16, 2029 | **Transition Guidance:** 832-10-65-2

A loan for which the lender agrees to waive repayment under certain prescribed conditions established by a government.

Government Grant

PENDING CONTENT

Transition Date: P December 16, 2028; N December 16, 2029 | **Transition Guidance:** 832-10-65-2

A transfer of a monetary asset or a tangible nonmonetary asset, other than in an exchange transaction (including an exchange transaction that may be at a significant discount to fair value), from a government to an entity except for a not-for-profit entity and an employee benefit plan within the scope of Topics 960, 962, and 965 on plan accounting.

Grant Related to an Asset

PENDING CONTENT

Transition Date: P December 16, 2028; N December 16, 2029 | **Transition Guidance:** 832-10-65-2

A government grant, or part of a government grant, that is conditioned on the purchase, construction, or acquisition of an asset (for example, a long-lived asset or inventory). Other conditions also may be attached, such as restricting the type or location of the asset, the periods during which the asset is to be acquired or held, or the disposal of the asset.

Grant Related to Income

PENDING CONTENT

Transition Date: P December 16, 2028; N December 16, 2029 | **Transition Guidance:** 832-10-65-2

A government grant, or part of a government grant, other than a grant related to an asset (for example, a grant that reimburses an entity for operating expenses).

Market Participants

Buyers and sellers in the principal (or most advantageous) market for the asset or liability that have all of the following characteristics:

a. They are independent of each other, that is, they are not related parties, although the price in a related-party transaction may be used as an input to a fair value measurement if the reporting entity has evidence that the transaction was entered into at market terms

b. They are knowledgeable, having a reasonable understanding about the asset or liability and the transaction using all available information, including information that might be obtained through due diligence efforts that are usual and customary

c. They are able to enter into a transaction for the asset or liability

d. They are willing to enter into a transaction for the asset or liability, that is, they are motivated but not forced or otherwise compelled to do so.

Monetary Assets

Money or a claim to receive a sum of money the amount of which is fixed or determinable without reference to future prices of specific goods or services.

Not-for-Profit Entity

An entity that possesses the following characteristics, in varying degrees, that distinguish it from a business entity:

a. Contributions of significant amounts of resources from resource providers who do not expect commensurate or proportionate pecuniary return

b. Operating purposes other than to provide goods or services at a profit

c. Absence of ownership interests like those of business entities.

Entities that clearly fall outside this definition include the following:

a. All investor-owned entities

b. Entities that provide dividends, lower costs, or other economic benefits directly and proportionately to their owners, members, or participants, such as mutual insurance entities, credit unions, farm and rural electric cooperatives, and employee benefit plans.

Orderly Transaction

A transaction that assumes exposure to the market for a period before the measurement date to allow for marketing activities that are usual and customary for transactions involving such assets or liabilities; it is not a forced transaction (for example, a forced liquidation or distress sale).

Probable

The future event or events are likely to occur.

Public Business Entity

A public business entity is a business entity meeting any one of the criteria below. Neither a not-for-profit entity nor an employee benefit plan is a business entity.

a. It is required by the U.S. Securities and Exchange Commission (SEC) to file or furnish financial statements, or does file or furnish financial statements (including voluntary filers), with the SEC (including other entities whose financial statements or financial information are required to be or are included in a filing).

b. It is required by the Securities Exchange Act of 1934 (the Act), as amended, or rules or regulations promulgated under the Act, to file or furnish financial statements with a regulatory agency other than the SEC.

c. It is required to file or furnish financial statements with a foreign or domestic regulatory agency in preparation for the sale of or for purposes of issuing securities that are not subject to contractual restrictions on transfer.

d. It has issued, or is a conduit bond obligor for, securities that are traded, listed, or quoted on an exchange or an over-the-counter market.

e. It has one or more securities that are not subject to contractual restrictions on transfer, and it is required by law, contract, or regulation to prepare U.S. GAAP financial statements (including notes) and make them publicly available on a periodic basis (for example, interim or annual periods). An entity must meet both of these conditions to meet this criterion.

An entity may meet the definition of a public business entity solely because its financial statements or financial information is included in another entity's filing with the SEC. In that case, the entity is only a public business entity for purposes of financial statements that are filed or furnished with the SEC.

Related Parties

Related parties include:

a. Affiliates of the entity

b. Entities for which investments in their equity securities would be required, absent the election of the fair value option under the Fair Value Option Subsection of Section 825-10-15, to be accounted for by the equity method by the investing entity

c. Trusts for the benefit of employees, such as pension and profit-sharing trusts that are managed by or under the trusteeship of management

d. Principal owners of the entity and members of their immediate families

e. Management of the entity and members of their immediate families

f. Other parties with which the entity may deal if one party controls or can significantly influence the management or operating policies of the other to an extent that one of the transacting parties might be prevented from fully pursuing its own separate interests

g. Other parties that can significantly influence the management or operating policies of the transacting parties or that have an ownership interest in one of the transacting parties and can significantly influence the other to an extent that one or more of the transacting parties might be prevented from fully pursuing its own separate interests.

Security

A share, participation, or other interest in property or in an entity of the issuer or an obligation of the issuer that has all of the following characteristics:

a. It is either represented by an instrument issued in bearer or registered form or, if not represented by an instrument, is registered in books maintained to record transfers by or on behalf of the issuer.

b. It is of a type commonly dealt in on securities exchanges or markets or, when represented by an instrument, is commonly recognized in any area in which it is issued or dealt in as a medium for investment.

c. It either is one of a class or series or by its terms is divisible into a class or series of shares, participations, interests, or obligations.

25 Recognition

General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General Note on Government Assistance: Upon the effective date of Accounting Standards Update No. 2025-10, the title of this Topic will change to Government Grants.

General

> Overall Guidance

832-10-25-1

PENDING CONTENT

Transition Date: P December 16, 2028; N December 16, 2029 | **Transition Guidance:** 832-10-65-2

An entity shall not recognize a government grant until:

a. It is probable that both of the following criteria are met:
   1. The entity will comply with the conditions attached to the government grant.
   2. The government grant will be received.

b. An entity meets the recognition guidance for a grant related to an asset in paragraphs 832-10-25-4 through 25-8 or a grant related to income in paragraph 832-10-25-9.

832-10-25-2

PENDING CONTENT

Transition Date: P December 16, 2028; N December 16, 2029 | **Transition Guidance:** 832-10-65-2

Receipt of a government grant does not, in and of itself, provide conclusive evidence that the conditions attached to the government grant have been or will be fulfilled. A government grant receivable or liability may be recognized because of differences in the timing between when an entity receives a government grant and when the guidance in paragraph 832-10-25-1 has been met. An entity shall not recognize a receivable on the balance sheet unless and until the recognition guidance in paragraph 832-10-25-1 is met.

832-10-25-3

PENDING CONTENT

Transition Date: P December 16, 2028; N December 16, 2029 | **Transition Guidance:** 832-10-65-2

A forgivable loan shall be treated as a government grant when the entity meets the guidance in paragraph 832-10-25-1, including when it is probable that the entity will meet the terms for forgiveness of the loan.

> Grant Related to an Asset

832-10-25-4

PENDING CONTENT

Transition Date: P December 16, 2028; N December 16, 2029 | **Transition Guidance:** 832-10-65-2

An entity shall recognize a grant related to an asset on the balance sheet as the entity incurs the related costs for which the government grant is intended to compensate using either of the following approaches:

a. Separately recognize the grant as deferred income. (This is referred to as the deferred income approach.)

b. Reflect the grant as an adjustment to the cost basis in determining the carrying amount of the asset. (This is referred to as the cost accumulation approach.)

832-10-25-5

PENDING CONTENT

Transition Date: P December 16, 2028; N December 16, 2029 | **Transition Guidance:** 832-10-65-2

A grant related to an asset that is accounted for using the deferred income approach shall be recognized in earnings on a systematic and rational basis over the periods in which the entity recognizes as expenses the related costs for which the government grant is intended to compensate. The expenses that are recognized for a grant related to an asset could include depreciation, gain or loss on sale, or impairment.

832-10-25-6

PENDING CONTENT

Transition Date: P December 16, 2028; N December 16, 2029 | **Transition Guidance:** 832-10-65-2

A government grant related to a nondepreciable asset that is accounted for using the deferred income approach shall be subsequently recognized in earnings on a systematic and rational basis over the periods in which the entity incurs the costs to which the grant relates.

832-10-25-7

PENDING CONTENT

Transition Date: P December 16, 2028; N December 16, 2029 | **Transition Guidance:** 832-10-65-2

For a grant related to an asset that is accounted for using the cost accumulation approach, there is no separate subsequent recognition of the government grant proceeds in earnings because they have been reflected in the carrying amount of the asset. The carrying amount of the asset that includes the government grant proceeds shall be used to determine depreciation or other subsequent accounting for that asset.

832-10-25-8

PENDING CONTENT

Transition Date: P December 16, 2028; N December 16, 2029 | **Transition Guidance:** 832-10-65-2

A government grant may take the form of a transfer of a tangible nonmonetary asset, such as land or other resources. The receipt of a tangible nonmonetary asset that is determined to be a grant related to an asset shall be recognized in accordance with paragraphs 832-10-25-4 through 25-7 and measured in accordance with paragraph 832-10-30-1.

> Grant Related to Income

832-10-25-9

PENDING CONTENT

Transition Date: P December 16, 2028; N December 16, 2029 | **Transition Guidance:** 832-10-65-2

A grant related to income shall be recognized in earnings on a systematic and rational basis over the periods in which the entity recognizes as expenses the related costs for which the grant is intended to compensate.

832-10-25-10

PENDING CONTENT

Transition Date: P December 16, 2028; N December 16, 2029 | **Transition Guidance:** 832-10-65-2

A grant related to income that provides an entity with compensation for expenses or losses previously incurred or for the purpose of giving immediate financial support to the entity with no future related costs shall be recognized in earnings in the period in which the entity meets the guidance in paragraph 832-10-25-1.

30 Initial Measurement

General Note: The Initial Measurement Section provides guidance on the criteria and amounts used to measure a particular item at the date of initial recognition.

General Note on Government Assistance: Upon the effective date of Accounting Standards Update No. 2025-10, the title of this Topic will change to Government Grants.

General

> Government Grant of a Tangible Nonmonetary Asset

832-10-30-1

PENDING CONTENT

Transition Date: P December 16, 2028; N December 16, 2029 | **Transition Guidance:** 832-10-65-2

If the deferred income approach is elected in accordance with paragraph 832-10-25-4(a), the receipt of a tangible nonmonetary asset that is determined to be a grant related to an asset shall be initially measured at fair value when the grant is recognized on the balance sheet. If the cost accumulation approach is elected in accordance with paragraph 832-10-25-4(b), the receipt of a tangible nonmonetary asset that is determined to be a grant related to an asset shall be recognized at the cost to the entity.

35 Subsequent Measurement

General Note: The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

ⓘ **General Note on Government Assistance**: Upon the effective date of Accounting Standards Update No. 2025-10, the title of this Topic will change to Government Grants.

General

> Repayment of a Government Grant

832-10-35-1

PENDING CONTENT

Transition Date: (P) December 16, 2028; (N) December 16, 2029 | **Transition Guidance:** 832-10-65-2

A government grant that becomes repayable shall be accounted for as follows:

a. Repayment of a grant related to income shall be applied first against the unamortized deferred income recognized related to the grant. To the extent that the repayment exceeds the unamortized deferred income or when no deferred income exists, the repayment shall be recognized immediately in earnings.

b. Repayment of a grant related to an asset shall be recognized by increasing the carrying amount of the asset (if the cost accumulation approach is applied) or by reducing the deferred income balance (if the deferred income approach is applied) by the amount repayable. When applying the cost accumulation approach, all related expenses such as the cumulative depreciation (or change in previously recognized gain or loss on sale) that would have been recognized in earnings to date in the absence of the government grant shall be recognized immediately in earnings. If the deferred income approach is applied, to the extent that the repayment exceeds the unamortized deferred income, the repayment shall be recognized immediately in earnings.

832-10-35-2

PENDING CONTENT

Transition Date: (P) December 16, 2028; (N) December 16, 2029 | **Transition Guidance:** 832-10-65-2

If repayment of a grant related to an asset results in a new carrying amount of the asset, an entity shall consider the new carrying amount when evaluating the asset for impairment, determining depreciation, and determining other subsequent accounting for that asset.

45 Other Presentation Matters

General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General Note on Government Assistance: Upon the effective date of Accounting Standards Update No. 2025-10, the title of this Topic will change to Government Grants.

General

> Grant Related to an Asset

832-10-45-1

PENDING CONTENT

Transition Date: P December 16, 2028; N December 16, 2029 | **Transition Guidance:** 832-10-65-2

A grant related to an asset that is accounted for using the deferred income approach in accordance with paragraph 832-10-25-4(a) shall be presented on the balance sheet as deferred income and presented as part of earnings in either of the following ways:

a. Separately under a general heading such as other income

b. Deducted from the related expense (for example, depreciation, gain or loss on sale, or impairment).

832-10-45-2

PENDING CONTENT

Transition Date: P December 16, 2028; N December 16, 2029 | **Transition Guidance:** 832-10-65-2

A grant related to an asset that is accounted for using the cost accumulation approach in accordance with paragraph 832-10-25-4(b) shall be presented on the balance sheet as part of the carrying amount of the asset. There shall be no separate subsequent presentation of the government grant proceeds in earnings because they have been reflected in the carrying amount of the asset.

> Grant Related to Income

832-10-45-3

PENDING CONTENT

Transition Date: P December 16, 2028; N December 16, 2029 | **Transition Guidance:** 832-10-65-2

A grant related to income shall be presented as part of earnings in either of the following ways:

a. Separately under a general heading such as other income

b. Deducted from the related expense.

50 Disclosure

General Note:The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General Note on Government Assistance: Upon the effective date of Accounting Standards Update No. 2025-10, the title of this Topic will change to Government Grants.

General

832-10-50-1 An entity shall provide the disclosures required by this Topic for annual periods.

832-10-50-2 The objective of disclosures about an entity's transactions with a government within the scope of this Topic is to provide information that enables an investor or other financial statement user to better assess all the following:

a. The nature of the transactions, the related accounting policies used to account for the transactions, and the effect of the transactions on an entity's financial statements

b. Significant terms and conditions of the transactions.

PENDING CONTENT

Transition Date: P December 16, 2028; N December 16, 2029 | **Transition Guidance:** 832-10-65-2

The objective of disclosures about a government grant is to provide information that enables an investor or other financial statement user to better assess all the following:

a. The nature of the grant, the related accounting policies used to account for the grant, and the effect of the grant on an entity's financial statements

b. Significant terms and conditions of the grant.

> Nature of the Assistance, Related Accounting Policies, and Effect on Financial Statement Amounts

832-10-50-3 An entity shall disclose the following about transactions with a government within the scope of this Topic:

a. The nature of the transactions, including a general description of the transactions and the form in which the assistance has been received (for example, cash or other assets)

b. The accounting policies used to account for the transactions as required by paragraph 235-10-50-1

c. The line items on the balance sheet and income statement that are affected by the transactions, and the amounts applicable to each financial statement line item in the current reporting period.

PENDING CONTENT

Transition Date: P December 16, 2028; N December 16, 2029 | **Transition Guidance:** 832-10-65-2

***Editor's Note**: Paragraph 832-10-50-3 will be amended upon transition, together with its heading:*

> **Nature of the Government Grant, Related Accounting Policies, and Effect on Financial Statement Amounts**

An entity shall disclose the following about a government grant:

a. The nature of the grant, including a general description of the grant and the form in which the grant has been received (for example, cash or tangible nonmonetary assets)

b. The accounting policies used to account for the grant as required by paragraph 235-10-50-1 (for example, for a grant related to an asset, whether the deferred income approach or the cost accumulation approach is applied or for a grant related to income, whether the grant is presented separately under a general heading such as other income or deducted from the related expense).

c. Subparagraph superseded by Accounting Standards Update No. 2025-10.

832-10-50-3A

PENDING CONTENT

Transition Date: (P) December 16, 2028; (N) December 16, 2029 | **Transition Guidance:** 832-10-65-2

For a grant related to an asset that is accounted for using the deferred income approach in accordance with paragraph 832-10-25-4(a) or a grant related to income, an entity shall disclose the line items on the balance sheet and income statement that are affected by the grant and the amounts applicable to each financial statement line item in the current reporting period.

832-10-50-3B

PENDING CONTENT

Transition Date: (P) December 16, 2028; (N) December 16, 2029 | **Transition Guidance:** 832-10-65-2

For a grant related to an asset that is accounted for using the cost accumulation approach in accordance with paragraph 832-10-25-4(b), an entity shall disclose, in the period in which the government grant is recognized on the balance sheet, the following:

a. The line items on the balance sheet that are affected by the grant and the amounts applicable to each financial statement line item

b. The useful life of any related depreciable or amortizable asset.

832-10-50-3C

PENDING CONTENT

Transition Date: (P) December 16, 2028; (N) December 16, 2029 | **Transition Guidance:** 832-10-65-2

An entity shall disclose the fair value of a tangible nonmonetary asset that is received as a government grant in the period in which the grant is recognized on the balance sheet, even if the cost accumulation approach is applied.

> Significant Terms and Conditions

832-10-50-4 An entity shall disclose information about the significant terms and conditions of transactions with a government within the scope of this Topic. Terms and conditions that might be appropriate to disclose include, but are not limited to, any of the following:

a. The duration or period of the agreement

b. Commitments made by both the reporting entity and the government

c. Provisions, if any, for recapture (for example, when the government can recapture amounts awarded), including the conditions under which recapture is allowed

d. Other contingencies.

PENDING CONTENT

Transition Date: P December 16, 2028; N December 16, 2029 | **Transition Guidance:** 832-10-65-2

An entity shall disclose information about the significant terms and conditions of a government grant. Terms and conditions that might be appropriate to disclose include, but are not limited to, any of the following:

a. The duration or period of the grant

b. Commitments made by both the reporting entity and the government

c. Provisions, if any, for recapture (for example, when the government can recapture amounts awarded), including the conditions under which recapture is allowed

d. Other contingencies.

> Restrictions

832-10-50-5 If an entity omits specific information required by paragraphs 832-10-50-1 through 50-4 because the information is legally prohibited from being disclosed, the entity shall disclose a description of the general nature of the information and indicate that the omitted disclosures are legally prohibited from being disclosed.

55 Implementation Guidance and Illustrations

General Note:The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

General Note on Government Assistance: Upon the effective date of Accounting Standards Update No. 2025-10, the title of this Topic will change to Government Grants.

General

832-10-55-1

PENDING CONTENT

Transition Date: P December 16, 2028; N December 16, 2029 | **Transition Guidance:** 832-10-65-2

The Implementation Guidance and Illustrations Section is organized as follows:

a. Implementation guidance is provided in paragraphs 832-10-55-2 through 55-7.

b. Illustrations are provided in paragraphs 832-10-55-8 through 55-14.

> Implementation Guidance

832-10-55-2

PENDING CONTENT

Transition Date: P December 16, 2028; N December 16, 2029 | **Transition Guidance:** 832-10-65-2

Paragraphs 832-10-55-3 through 55-14 are an integral part of this Topic. These paragraphs provide additional guidance that addresses the application of the guidance on government grants.

· > Scope

832-10-55-3

PENDING CONTENT

Transition Date: P December 16, 2028; N December 16, 2029 | **Transition Guidance:** 832-10-65-2

Different terms can be used to describe various types of government assistance (for example, grants, awards, or subsidies). Therefore, an entity should consider the individual facts and circumstances to determine whether assistance received from a government meets the definition of a government grant and, therefore, is within the scope of this Topic.

832-10-55-4

PENDING CONTENT

Transition Date: P December 16, 2028; N December 16, 2029 | **Transition Guidance:** 832-10-65-2

A government grant is received in the form of a monetary asset or a tangible nonmonetary asset from a government. Examples of a government grant include the following:

a. A transfer of cash to fund future expenditures or reimburse expenditures already incurred (for example, capital expenditures, wages, training and other employee-related costs, research and development expenses, or other operating expenses)

b. A transfer of a tangible nonmonetary asset such as a long-lived asset (for example, a building, land, or equipment)

c. The proceeds of a forgivable loan when an entity meets the guidance in paragraph 832-10-25-1, including when it is probable that the entity will meet the terms for forgiveness of the loan

d. A refundable tax credit that is not within the scope of Topic 740 on income taxes.

832-10-55-5

PENDING CONTENT

Transition Date: P December 16, 2028; N December 16, 2029 | **Transition Guidance:** 832-10-65-2

The scope of the guidance in this Topic is limited to government grants and, therefore, excludes the following:

a. The transfer of an intangible asset or provision of a service

b. A reduction of an entity's liabilities (for example, sales, property, payroll, or other tax abatement)

c. Government participation in the ownership of an entity

d. A contribution to a business entity from a nongovernmental source within the scope of Subtopic 958-605 on not-for-profit entities—revenue recognition

e. A transaction within the scope of Topic 606 on revenue from contracts with customers or Subtopic 610-20 on other income—gains and losses from the derecognition of nonfinancial assets.

· > Recognition

832-10-55-6

PENDING CONTENT

Transition Date: P December 16, 2028; N December 16, 2029 | **Transition Guidance:** 832-10-65-2

In most cases, the period over which an entity recognizes the costs or expenses related to a government grant is readily ascertainable. Thus, a government grant that is intended to reimburse specific expenses should be recognized in earnings on a systematic and rational basis over the periods in which the entity recognizes the relevant expenses. Similarly, a government grant related to a depreciable asset that is accounted for using the deferred income approach in accordance with paragraph 832-10-25-4(a) should be recognized in earnings on a systematic and rational basis over the periods in which depreciation expense on that asset is recognized (in the absence of impairment or disposal).

832-10-55-7

PENDING CONTENT

Transition Date: P December 16, 2028; N December 16, 2029 | **Transition Guidance:** 832-10-65-2

Government grants may be received as part of a package of financial or fiscal aid that contains a number of conditions. In such cases, judgment is needed to identify the conditions related to the costs that determine the periods over which the government grant will be recognized.

> Illustrations

· > Recognition

· · > Example 1: Grant Related to an Asset

832-10-55-8

PENDING CONTENT

Transition Date: P December 16, 2028; N December 16, 2029 | **Transition Guidance:** 832-10-65-2

Entity A is awarded a government grant of $5 million to assist with the cost of purchasing a building, which is the only condition attached to the grant. The government grant proceeds will be received after the purchase of the building. When the building is purchased, Entity A has incurred the related costs for which the government grant is intended to compensate and determines that the probable criteria in paragraph 832-10-25-1(a)(1) through (a)(2) have been met. The building has a useful life of 40 years.

832-10-55-9

PENDING CONTENT

Transition Date: P December 16, 2028; N December 16, 2029 | **Transition Guidance:** 832-10-65-2

Entity A can elect to recognize the government grant as deferred income on the balance sheet using the deferred income approach in accordance with paragraph 832-10-25-4(a) or reflect the government grant as an adjustment to the cost basis in determining the carrying amount of the building using the cost accumulation approach in accordance with paragraph 832-10-25-4(b).

832-10-55-10

PENDING CONTENT

Transition Date: P December 16, 2028; N December 16, 2029 | **Transition Guidance:** 832-10-65-2

If Entity A elects the deferred income approach, it should recognize the government grant as deferred income. Once the building is placed into service, Entity A begins recognizing the government grant of $5 million in earnings on a systematic and rational basis over the 40-year period in proportion to the depreciation expense recognized in accordance with paragraphs 832-10-25-5 and 832-10-55-6. Entity A may elect to present the grant in earnings either separately under a general heading such as other income or deducted from the related expense (for example, depreciation). Entity A should revise the pattern of recognition if the building is disposed of or impaired.

832-10-55-11

PENDING CONTENT

Transition Date: P December 16, 2028; N December 16, 2029 | **Transition Guidance:** 832-10-65-2

If Entity A elects the cost accumulation approach, it should reflect the government grant as an adjustment to the cost basis in determining the carrying amount of the building. Once the building is placed into service, there is no subsequent separate recognition of the government grant proceeds in earnings. The carrying amount of the building, which reflects the government grant proceeds, should be used to determine the depreciation expense or subsequent accounting in accordance with paragraph 832-10-25-7.

· · > Example 2: Grant Related to Income

832-10-55-12

PENDING CONTENT

Transition Date: P December 16, 2028; N December 16, 2029 | **Transition Guidance:** 832-10-65-2

Entity B is awarded a government grant of $2 million for qualifying expenditures associated with the research and development of a new drug. Entity B will receive cash from the government on a cost-reimbursement basis by submitting proof that it has incurred qualifying expenditures. Entity B determines that the probable criteria in paragraph 832-10-25-1(a)(1) through (a)(2) have been met because it is probable that it will comply with the condition of the government grant (to incur qualifying expenditures) on the basis of its detailed project plan and budget and that the grant will be received.

832-10-55-13

PENDING CONTENT

Transition Date: P December 16, 2028; N December 16, 2029 | **Transition Guidance:** 832-10-65-2

Entity B incurs the qualifying expenditures associated with the research and development of a new drug over a 2-year period and recognizes the government grant of $2 million on a systematic and rational basis over the 2-year period as those costs are incurred in accordance with paragraphs 832-10-25-9 through 25-10 and 832-10-55-6. No government grant proceeds would be recognized in earnings until Entity B incurs the related expenses. In addition, a receivable would not be recognized on the balance sheet unless and until Entity B incurs the qualifying expenditures associated with the research and development of a new drug.

832-10-55-14

PENDING CONTENT

Transition Date: P December 16, 2028; N December 16, 2029 | **Transition Guidance:** 832-10-65-2

Entity B can elect to present the government grant proceeds either separately under a general heading such as other income in accordance with paragraph 832-10-45-3(a) or as a deduction from the related expenses in accordance with paragraph 832-10-45-3(b).

65 Transition and Open Effective Date Information

General Note: The Transition Section contains a description of the required transition provisions and a list of the related paragraphs that have been modified. This Section will retain the transition content during the transition period. After the transition period, the transition content will be removed yet will be available in archived versions of the Section.

General Note on Government Assistance: Upon the effective date of Accounting Standards Update No. 2025-10, the title of this Topic will change to Government Grants.

General

832-10-65-1 Paragraph superseded on 07/10/2023 after the end of the transition period stated in Accounting Standards Update No. 2021-10, *Government Assistance (Topic 832): Disclosures by Business Entities about Government Assistance*.

> Transition Related to Accounting Standards Update No. 2025-10, *Government Grants (Topic 832): Accounting for Government Grants Received by Business Entities*

832-10-65-2 The following represents the transition and effective date information related to Accounting Standards Update No. 2025-10, *Government Grants (Topic 832): Accounting for Government Grants Received by Business Entities*:

Effective date and early adoption

a. The pending content that links to this paragraph shall be effective for a public business entity for annual reporting periods beginning after December 15, 2028, and interim reporting periods within those annual reporting periods.

b. For an entity other than a public business entity, the pending content that links to this paragraph shall be effective for annual reporting periods beginning after December 15, 2029, and interim reporting periods within those annual reporting periods.

c. Early adoption of the pending content that links to this paragraph is permitted in both interim and annual reporting periods in which financial statements have not yet been issued or made available for issuance. If an entity adopts the pending content that links to this paragraph in an interim reporting period, it shall adopt the pending content as of the beginning of the annual reporting period that includes that interim reporting period.

Transition method

d. An entity shall apply the pending content that links to this paragraph using one of the following transition methods:

1. A modified prospective approach for both:

   i. Government grants that are entered into on or after the effective date.

ii. Government grants that are not complete as of the effective date. A government grant is complete when substantially all of the government grant proceeds have been recognized before the effective date of the pending content that links to this paragraph.

Prior-period results shall not be restated, and there shall be no cumulative-effect adjustment to the opening balance of retained earnings as of the beginning of the year of adoption.

2. A modified retrospective approach for both:

i. Government grants that are entered into on or after the beginning of the earliest period presented.

ii. Government grants that are not complete as of the beginning of the earliest period presented. A government grant is complete when substantially all of the government grant proceeds have been recognized before the beginning of the earliest period presented in which the pending content that links to this paragraph is adopted.

All prior period results shall be restated for government grants that are not complete as of the beginning of the earliest period presented through a cumulative-effect adjustment to the opening balance of retained earnings as of the beginning of the earliest period presented.

3. A retrospective approach to all government grants through a cumulative-effect adjustment to the opening balance of retained earnings as of the beginning of the earliest period presented.

e. For purposes of the transition guidance in (d)(1)(ii): A grant related to an asset that was accounted for by reflecting the grant as an adjustment to the cost basis in determining the carrying amount of the asset before the effective date is considered recognized when substantially all of the grant is reflected in the carrying amount of the asset on the balance sheet. For all other government grants, a government grant is considered recognized when substantially all of the government grant proceeds have been recognized in the income statement before the effective date of the pending content that links to this paragraph.

f. For purposes of the transition guidance in (d)(2)(ii): A grant related to an asset that was accounted for by reflecting the grant as an adjustment to the cost basis in determining the carrying amount of the asset before the beginning of the earliest period presented is considered recognized when substantially all of the grant is reflected in the carrying amount of the asset on the balance sheet. For all other government grants, a government grant is considered recognized when substantially all of the government grant proceeds have been recognized in the income statement before the beginning of the earliest period presented.

g. An entity shall apply the pending content that links to this paragraph prospectively to government grants acquired in business combinations that occur after the effective date of the pending content.

Transition disclosures

h. An entity that applies the pending content that links to this paragraph using a modified prospective approach in accordance with (d)(1) shall disclose the nature of and reason for the accounting change.

i. An entity that applies the pending content that links to this paragraph using a modified retrospective approach or a retrospective approach in accordance with (d)(2) or (d)(3) shall provide the transition disclosures required by paragraphs 250-10-50-1 through 50-2 in the period of adoption, except for the requirements in paragraph 250-10-50-1(b)(2) for the current reporting period and the requirements in paragraph 250-10-50-1(b)(4) through (c)(1).